

CAPITAL MARKETS

Private Credit Lends on Self-Storage, but the Borrower Takes the Rate Risk

ACORE Capital's \$140M floating-rate loan reveals where private credit is willing to deploy and who bears the cost.

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A source-grounded Light Tower Insight. The complete note follows.

ACORE Capital provided \$140 million to refinance a portfolio of eight Class A self-storage properties across seven northeastern states. The borrower is a joint venture between the Ardent Companies and StepStone Real Estate. The debt is floating-rate. That last detail is the story.

The transaction matters because it shows where private credit is willing to deploy capital in self-storage and on what terms. Floating-rate debt on a stabilized portfolio of recently built, climate-controlled facilities is not a bet on rate declines. It is a bet on the borrower's ability to absorb higher debt service costs if the Fed does not cut as fast or as far as the market expects. The lender is not taking duration risk. The borrower is.

The portfolio comprises 7,650 units across 742,855 square feet, all managed by Extra Space Storage. JLL Capital Markets arranged the financing. Brian Somoza, Steven Klein, John Bauman, Campbell Swango, and Shishir Reddy represented the borrower. Klein noted in a statement that the institutional investment was attracted by supply constraints in the Northeast and the sponsorship's experience.

That is the public rationale. The private calculus is more specific. ACORE Capital is a private credit lender. It does not have the cost of capital or the regulatory constraints of a bank. It can underwrite floating-rate loans because it funds them with floating-rate liabilities and does not need to match duration the way a life company or agency lender does. The trade-off is that the borrower bears the rate risk. For a portfolio of recently built, stabilized self-storage assets, that risk is manageable if the properties generate enough cash flow to cover a 200- or 300-basis-point increase in SOFR. If they do not, the borrower will be back at the table negotiating an extension or a modification.

The structure reveals something about the self-storage market in the Northeast. New supply is constrained. Zoning, land costs, and construction costs have limited new development. That scarcity supports occupancy and rent growth for existing Class A product. A lender underwriting that thesis can justify a floating-rate loan because the operating income is expected to grow faster than the debt service. The borrower is betting that the spread between NOI growth and rate increases stays positive.

The lender is betting that the asset quality and sponsorship will protect its principal if the spread turns negative.

This is not a distressed refinancing. The portfolio is stabilized, recently built, and professionally managed. The loan is a refinancing, not an acquisition or construction takeout. The borrower is not under pressure to sell or recapitalize. The lender is not taking a distressed position. The transaction is a clean, institutional-grade capital markets execution. That is exactly why it is worth examining. It shows what a functioning market looks like when private credit is the marginal lender.

The alternative would have been a fixed-rate loan from a life company or a CMBS execution. Those sources are available for self-storage, but they come with prepayment penalties, lockout periods, and tighter underwriting on leverage and debt yield. A floating-rate loan from a private credit lender offers more flexibility on prepayment and structure. The borrower can refinance into fixed-rate debt later if rates decline, or hold the floating-rate loan if the spread remains favorable. The lender gets a floating-rate asset that matches its funding and a fee for taking the rate risk the borrower does not want to lock in today.

The question for the market is whether this structure becomes more common as the rate cycle evolves. If the Fed cuts rates in the second half of 2026, floating-rate borrowers will benefit from lower debt service costs. If rates stay higher for longer, the borrowers who took floating-rate debt will face margin compression. The lenders who provided that debt will watch their borrowers' coverage ratios tighten. The outcome will depend on the asset quality and the sponsorship's ability to manage the balance sheet.

For owners of self-storage portfolios, the implication is clear. Private credit is willing to lend on stabilized, recently built, professionally managed assets. The terms are floating-rate, which means the borrower takes the rate risk. The lender takes the asset risk. The structure works when both parties are confident in the underlying cash flow. For owners of older, less well-located, or less well-managed self-storage, the calculus is different. The bid is narrower. The terms are tighter. The lender's willingness to underwrite floating-rate debt depends on the asset's ability to absorb rate increases

without breaking the debt service coverage.

The deal is not a signal that self-storage is booming. It is a signal that private credit has found a lane in self-storage where it can deploy capital at a spread that compensates for the rate risk. The borrower gets liquidity. The lender gets yield. The market gets a data point on where the bid is and what it costs.

SOURCES

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<https://commercialobserver.com/2026/07/acore-capital-140m-self-storage-portfolio/>

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